Overview and Future avenues

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Review

- In this course we have done three things.
- 1) Provided an overview of the basic tools: solving, simulating, estimating DGE models, and some methods for characterizing basic business cycle facts: band pass filters and VARS.
- 2) review the consensus model
  - × Has the RBC core
  - × Augmented with sticky prices
  - × often augmented with financial frictions (non-covered)
- Highlighted some weakness of the consensus model, and offered some paths forward
  - × Offers poor narrative of the business cycle, especially at lower frequencies
  - × Role of demand limited by structure
  - × Poor explanation of current secular stagnation situation

Response to weakness

- We have introduce you to ideas and economic mechanisms where:
  - × demand (through perceptions) may be important for BC, while not being inflationary
  - × where liquidations may play important role in recessions
  - × where deficient demand can arise with flexible prices, and in steady state
  - × where endogenous fluctuations, in the form of Limit cycles, may arise.

Potential Research Avenues

Many, here are a few

- Building and estimating models that embed a greater possibility of demand driven fluctuations, and use to re-evaluate the drivers of business cycles.
- Quantifying the role of liquidation-and-over-accumulation in the cycle; in particular differentiating role versus credit-and-deleveraging in cycles
- Evaluating the role of mis-perceived trends in explain perceived long run effects of financial crises
- Using framework to re-examine Japan: idea steady state deficient demand not related to prices rigidities
- International extensions (international endogenous cycles?)
- Bridging with the imperfect information literature